



DELHI PUBLIC SCHOOL NEWTOWN
SESSION 2024-25
PRE BOARD EXAMINATION

CLASS: X
SUBJECT: ECONOMIC APPLICATIONS (SET-A)

FULL MARKS: 100
TIME: 2 HOURS

Answers to this Paper must be written on the paper provided separately.

You will not be allowed to write during the first 15 minutes.

This time is to be spent in reading the Question Paper.

The time given at the head of this Paper is the time allowed for writing the answers.

Attempt all questions from Section A and any four questions from Section B.
The intended marks for questions or parts of questions are given in brackets [].

This question paper consists of 6 printed pages.

SECTION A (40 Marks)
(Attempt all questions from this Section)

Question 1

[20]

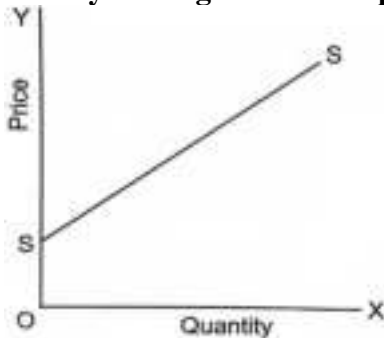
Choose the correct answers to the questions from the given options.

(Do not copy the question, write the correct answers only.)

- (i) Assertion (A): One feels the pinch in his pocket for paying the tax.
Reasoning (R): In case of direct tax the impact and incidence is on the same person.

- (a) A is true but R is false
(b) A is false but R is true
(c) Both A and R are true and R explains A
(a) Both A and R are true but R does not explain A

- (ii) Identify the degree of the supply curve given below:



- (a) Perfectly inelastic
(b) Inelastic
(c) Elastic
(d) Unitary elastic
- (iii) An inflation caused by an enhanced wage of labour is _____.
(a) Demand – pull inflation
(b) Cost - push inflation
(c) Hyper inflation
(d) Galloping inflation
- (iv) If car and petrol are complementary goods, then an increase in the price of petrol will cause:
(a) An increase in the demand for car
(b) An increase in the demand for petrol
(c) A decrease in the demand for car
(d) An increase in the price of car

- (v) Nike Air Max 2016 sports shoes are available in the Indian market at around ₹20,000. Person A opted for only this brand, when sports teacher announced for inter-house football competition, though other sport shoes are also available in the market at around ₹5,000.

Which of the following is revealed in Person A's behaviour?

- (a) Snob effect (b) Speculative activities
(c) Giffen effect (d) Income effect
- (vi) Entrepreneurs are individuals who take risks to start and run a business.
(a) True (b) False
- (vii) Which function of Commercial Bank is indicated by the given image?



- (a) Accepting deposits (b) Merchant banking
(c) Bills of exchange (d) Credit control
- (viii) Identify the correct sequence of alternatives given in Column II by matching them with respective items in Column I:

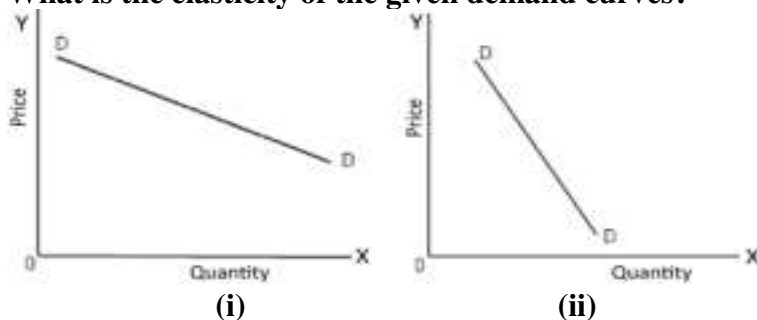
	Column I		Column II
(A)	Land	(i)	Indestructible
(B)	Labour	(ii)	Man-made
(C)	Capital	(iii)	Bargaining power
(D)	Entrepreneur	(iv)	Not a hired factor

- (a) A-(i), B-(ii), C-(iii), D-(iv)
(b) A-(i), B-(iii), C-(ii), D-(iv)
(c) A-(iv), B-(iii), C-(ii), D-(i)
(d) A-(iv), B-(ii), C-(i), D-(iii)
- (ix) The income of _____ may be positive, negative or zero.
(a) Labourer (b) Land owner
(c) Capital (d) Entrepreneur
- (x) What does the following picture indicate?



- (a) Globalization (b) Liberalization
(c) Privatization (d) Nationalization
- (xi) An extension of supply curve of the good X occurs when:
(a) The price of the product increases
(b) The price of its input increases
(c) The price of the product decreases
(d) The price of its substitute decreases

(xii) What is the elasticity of the given demand curves?



- (a) (i) elastic, (ii) inelastic (b) (i) inelastic, (ii) elastic
(c) (i) unitary elastic, (ii) inelastic (d) (i) inelastic, (ii) unitary elastic

(xiii) Match the statements given below A with correct options given below B

	A		B
(i)	Normal goods	(P)	The demand for goods which tends to fall with increase in income
(ii)	Inferior goods	(Q)	Goods which can be used in place of one another
(iii)	Substitute goods	(R)	The demand for goods which tends to rise with increase in income
(iv)	Joint demand	(S)	When two or more goods are demanded together to satisfy a particular want

- (a) (i) – R, (ii) – P, (iii) – Q, (iv) – S
(b) (i) – P, (ii) – R, (iii) – S, (iv) – Q
(c) (i) – Q, (ii) – R, (iii) – S, (iv) – P
(d) (i) – P, (ii) – Q, (iii) – R, (iv) – S

(xiv) Assertion (A): The demand curve is downward sloping.

Reasoning (R): This reflects the inverse relationship between price and quantity demanded.

- (a) A is true but R is false
(b) A is false but R is true
(c) Both A and R are true and R explains A
(d) Both A and R are true and R does not explain A

(xv) When the price of a commodity falls by 80%, the quantity demanded increases by 100%. The price elasticity of demand will be:

- (a) 1.25 (b) 0.25
(c) 1.67 (d) 1.20

(xvi) A company charges different prices for its product from two different group of people irrespective of difference in its cost of production. Identify the nature of market for this type of commodity.

- (a) Monopoly market (b) Monopsony market
(c) Monopolistic competition (d) Perfect competition

(xvii) Observe the relationship of the first pair of words and complete the second pair.

Single seller in the market: Monopoly, Single buyer in the market:

- (a) Perfect competition (b) Pure competition
(c) Monopolistic competition (d) Monopsony

(xviii) Assertion (A): Land is a passive factor of production.

Reasoning (B): Capital is subject to depreciation.

- (a) A is true but R is false
(b) A is false but R is true
(c) Both A and R are true and R explains A
(d) Both A and R are true and R does not explain A

- (xix) A tax is called _____ when the rate of tax increases up to a certain limit and there after becomes proportional.
- (a) Regressive (b) Degressive
(c) Proportional (d) Progressive
- (xx) A labourer's income can be negative.
- (a) True (b) False

Question 2

- (i) Calculate the price elasticity of supply on the basis of the following data: [2]

Price (₹)	Quantity (kg)
60	400
58	300

Is the supply elastic or inelastic?

- (ii) How would you apply the concept of supply to predict the effects of a natural disaster on local markets? [2]
- (iii) What will be the impact of the increase in the prices of petrol on the demand curve of diesel? [2]
- (iv) Identify the market form and explain the corresponding feature, as given in the following statement: [2]
"The commodity in this market has attributes which are identical for sellers and buyers."
- (v) Analyze the impact of the picture given below on the purchasing power of the fixed income groups. [2]



Question 3

- (i) 'A contractor agreed to construct a building in return for a specified sum of money to be paid after completion of work. Both the parties to the agreement are certain as to amount of money that will change hands at the agreed date in future.' [2]
Identify and explain the function of money highlighted in the given statement.
- (ii) What does the picture given below refer to? Explain its implications. [2]



- (iii) Mr. X was exempted from income tax when his annual income was less than ₹5 lakh. He had to pay ₹6,000 while his income was raised to ₹6 lakh and now he earns ₹7 lakh and is paying ₹10,500 as income tax. What type of tax is described in the passage? Explain. [2]

- (iv) “Tax paid by a person to the government does not provide any direct benefit to the tax payer.” Defend or refute giving reasons. [2]

- (v) The following table shows that there are three firms A, B and C in a market. [2]

Price (₹)	Firm A (units)	Firm B (units)	Firm C (units)	Market Supply (units)
10	0	25	(i)	35
20	10	(ii)	20	60
30	(iii)	35	25	80
40	30	40	40	(iv)

Based on the above hypothetical schedule answer the following questions.

- (a) What is the supply of Firm C priced at ₹10 (i)
 (b) What is the supply of Firm B priced at ₹20 (ii)
 (c) What is the supply of Firm A priced at ₹30 (iii)
 (d) Calculate the total market supply priced at ₹40 (iv)

SECTION B (60 Marks)

(Answer any four questions from this Section)

Question 4

(i)



[7]

The image shows a modern bakery where bread and cakes are made by staffs preparing for baking. It also shows advance baking equipment and technology.

- (a) Which factor is responsible for engaging the various factors of production in a bakery?
 (b) What functions can the owner of the bakery employ to effectively run this project?

- (ii) What are public sector enterprises? Explain any two major contributions of PSEs to the Indian Economy. Discuss any two problems faced by PSEs in recent times. [8]

Question 5

- (i) (a) Which Government body exercises control over the commercial banks of the country in India? [7]
 (b) Explain any three functions of the government body mentioned above.
 (ii) “The elasticity of supply depends on a number of factors.” Explain. [8]

Question 6

- (i) Self-checkout machine is a retail technology that enables customers to scan, bag, and pay for their purchases independently without cashier assistance. Self-checkout kiosks enable customers to interact directly with the technology to complete their shopping process. [7]
- (a) Identify the type of capital used in the above situation.
- (b) Explain any four causes of low rate of capital formation in India.
- (ii) Coffee is generally widely available at a level of quality that meets the needs of most consumers. The combination of a low price, relative to the consumer's spending power, and the fact that the product is sold by many different suppliers in a competitive market, the consumers keep on changing the amount of consumption of coffee to a large extent despite fall or rise in price. [8]
- (a) Discuss the degree of price elasticity of demand mentioned in the above example.
- (b) Explain any three factors determining price elasticity of demand.

Question 7

- (i) "Land is considered to be an important factor of production." What do you mean by land? Discuss the causes of low productivity of land. [7]
- (ii) What is money? Describe the contingent functions of money. [8]

Question 8

- (i) Define labour. What are the disadvantages of division of labour for workers? Explain with relevant examples. [7]
- (ii) Define ecosystem. Explain any three ways in which the mining operations affect the ecosystem. [8]

Question 9

- (i) Read the extract given below and answer the questions: [7]
- Shri Shaktikanta Das, the Governor stated that the global scenario exhibits a mixed outlook, with improved chances of a soft landing due to inflation nearing targets and better-than-expected growth in major economies, alongside ongoing conflicts causing uncertainty. Despite global challenges, the Indian economy had shown remarkable performance. The Committee decided to maintain the repo rate at 6.50%, focusing on withdrawing accommodation to align inflation with the target while supporting growth.
- [Source: Reserve Bank of India- Publications]
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- (a) Which particular role of RBI has been highlighted in the passage?
- (b) Explain any three credit control instruments used by the RBI to maintain stability in the economy.
- (ii) Explain any four features of a monopolistically competitive market. [8]